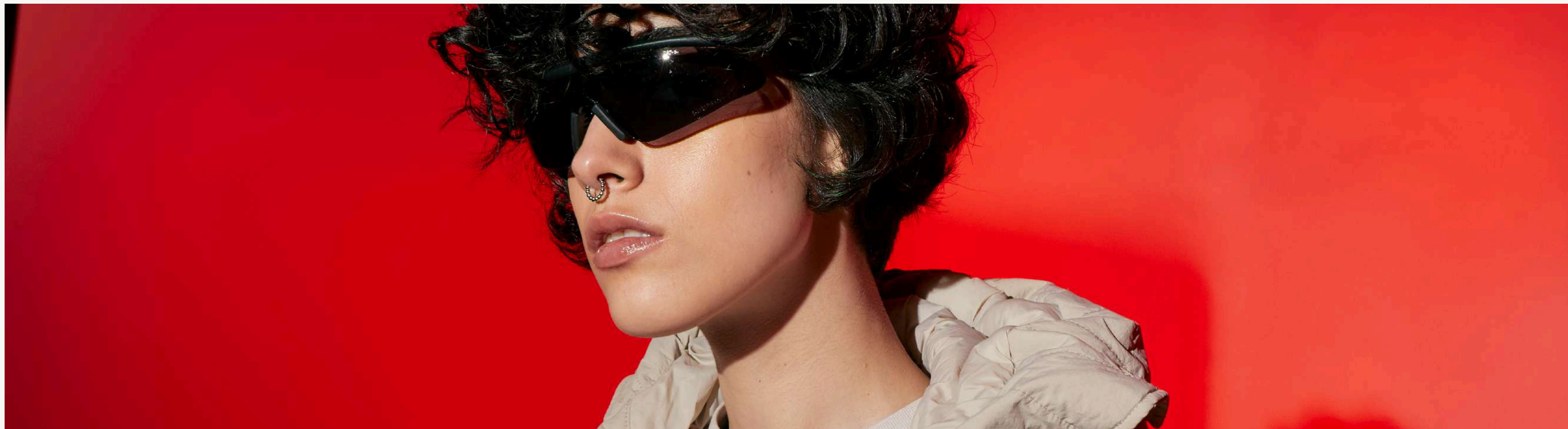




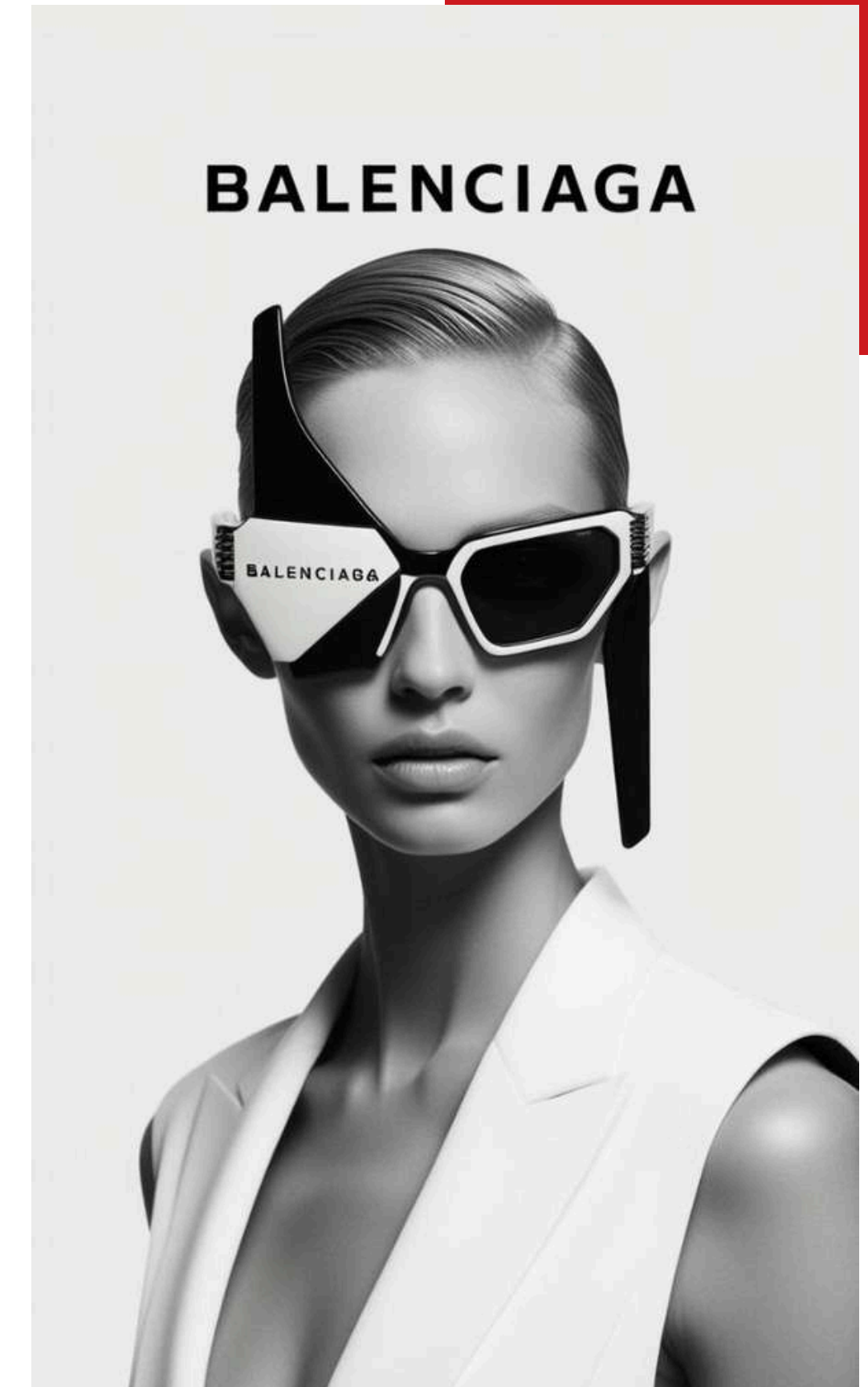
BALENCIAGA

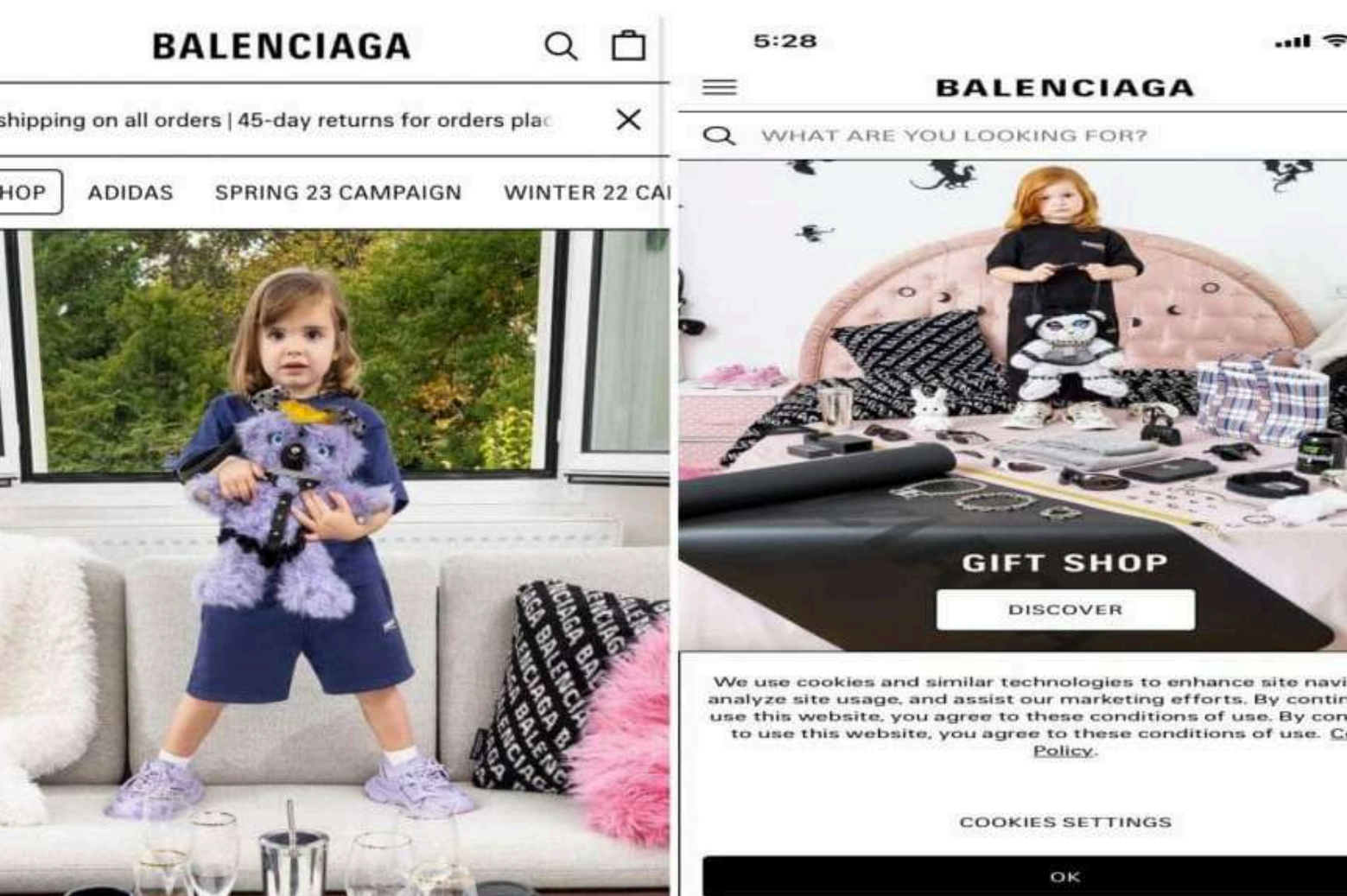
BY TEAM HALO

BRAND REPUTATION

TABLE OF CONTENTS

1. Executive Overview
2. Brand Reputation: Past & Present
3. PESTLE Analysis
4. Stakeholder Map
5. Communications Review
6. Primary Research Insights
7. Problem Statement
8. Strategic Solution Framework
9. Short-Term Recommendations
10. Long-Term Recommendations
11. Conclusion & Key Takeaways





CORE- ISSUE

BALENCIAGA : A LUXURY FASHION HOUSE KNOWN FOR AVANT-GARDE EXPERIMENTATION, CULTURAL DISRUPTION, AND BOUNDARY-PUSHING VISUAL LANGUAGE.

CORE ISSUE:

IN LATE 2022, BALENCIAGA RELEASED TWO CAMPAIGNS THAT TRIGGERED GLOBAL OUTRAGE:

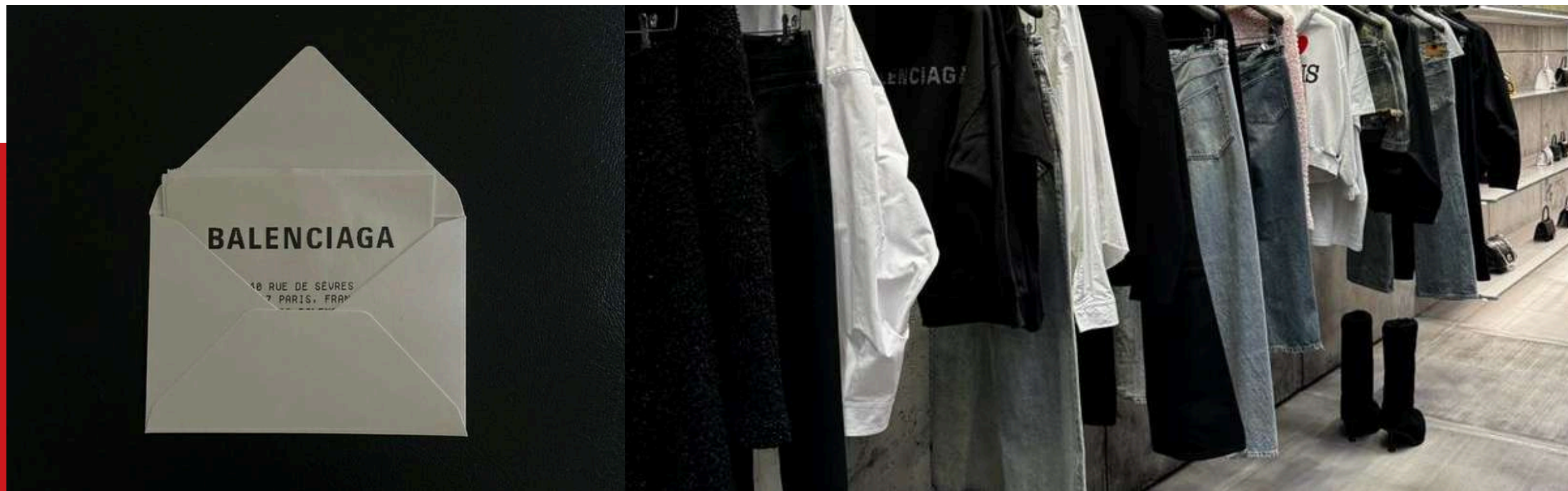
1. A HOLIDAY CAMPAIGN FEATURING CHILDREN HOLDING TEDDY BEAR BAGS STYLED WITH BDSM-CODED HARNESES.
2. A SEPARATE CAMPAIGN INCLUDING LEGAL DOCUMENTS REFERENCING CHILD EXPLOITATION CASES.

THE IMAGERY IGNITED A WORLDWIDE BACKLASH, ACCUSATIONS OF PROMOTING HARMFUL THEMES, AND A SHARP DECLINE IN PUBLIC TRUST. THE SCANDAL CONTINUES TO SHAPE THE BRAND'S REPUTATION, OVERSHADOWING ITS CREATIVE IDENTITY AND SPARKING LONG-TERM DISCUSSIONS ABOUT ETHICS, RESPONSIBILITY, AND OVERSIGHT IN LUXURY MARKETING.



WHY THIS MATTERS

- CONSUMER TRUST DECLINED SHARPLY
- LONG-TERM BRAND MEANING SHIFTED FROM INNOVATION TO CONTROVERSY
- AMBASSADORS, MEDIA, AND CULTURAL VOICES DISTANCED THEMSELVES
- EXECUTIVE LEADERSHIP FACES PRESSURE TO RESTORE CREDIBILITY





PAST REPUTATION (PRE-2022)

BALENCIAGA WAS KNOWN FOR:

- AVANT-GARDE CREATIVITY
- STREETWEAR-DRIVEN CULTURAL RELEVANCE
- STRONG FINANCIAL GROWTH (€2.3B REVENUE IN 2021)
- HIGH CELEBRITY ASSOCIATIONS
- CONSISTENT PRESENCE IN LYST TOP 10

BRAND IDENTITY: BOUNDARY-PUSHING, ELITE, INFLUENTIAL



POST-CRISIS REPUTATION (2022-PRESENT)

SHIFT IN PUBLIC PERCEPTION:

- “CONTROVERSIAL,” “TONE-DEAF,” “ELITIST,” “IRRESPONSIBLE”
- #BOYCOTTBALENCIAGA REACHED 350M+ TIKTOK VIEWS
- BRAND FAVORABILITY DECREASED ACROSS PUBLIC OPINION POLLS
- ONGOING SKEPTICISM AMONG GEN Z AND MILLENNIAL CONSUMERS

BALENCIAGA REMAINS CULTURALLY RELEVANT, BUT TRUST IS WEAKENED.



QUANTITATIVE INDICATORS

GOOGLE SEARCHES FOR “BALENCIAGA SCANDAL”
SPIKED 5000%

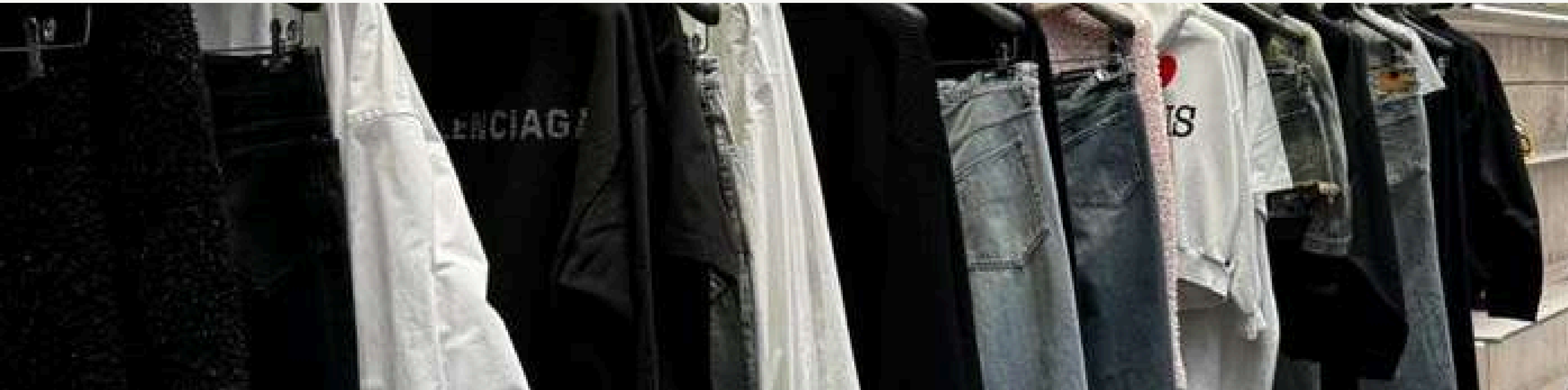
- DECLINE IN PUBLIC TRUST AND BRAND AFFINITY
(MORNING CONSULT, 2023)
- SOCIAL MEDIA SENTIMENT REMAINS LARGELY
NEGATIVE
- YET: BALENCIAGA STILL APPEARED IN LYST’S TOP 10
IN 2023

(DATA SHOWS REPUTATION WEAKENED; ECONOMIC
RELEVANCE REMAINS STRONG.)



PESTLE OVERVIEW

- **POLITICAL:** ADVERTISING SCRUTINY, MINOR PROTECTION
- **ECONOMIC:** STRONG SALES BUT LONG-TERM EQUITY RISK
- **SOCIAL:** SHIFTING CULTURAL EXPECTATIONS; ETHICAL MARKETING
- **TECHNOLOGICAL:** FAST-PACED SOCIAL MEDIA BACKLASH
- **LEGAL:** COMPLIANCE GAPS IN CAMPAIGN REVIEW
- **ENVIRONMENTAL:** NOT CENTRAL, BUT PART OF BROADER BRAND NARRATIVE



KEY STAKEHOLDERS

PRIMARY STAKEHOLDERS

- CONSUMERS (GEN Z, MILLENNIALS, LUXURY BUYERS)
- PARENTS & FAMILY-ORIENTED COMMUNITIES
- CELEBRITIES, AMBASSADORS, INFLUENCERS
- KERING LEADERSHIP & BALENCIAGA'S CREATIVE TEAM
- FASHION JOURNALISTS, CRITICS, AND INDUSTRY GATEKEEPERS

SECONDARY STAKEHOLDERS

- CHILD-PROTECTION ADVOCACY GROUPS
- RETAIL PARTNERS AND DEPARTMENT STORES
- MEDIA OUTLETS
- REGULATORY BODIES
- SOCIAL MEDIA PLATFORMS (TIKTOK, INSTAGRAM, X)

AREAS REQUIRING FURTHER RESEARCH

- LONG-TERM IMPACT ON SALES AFTER 2022
- CELEBRITY AFFILIATIONS POST-SCANDAL
- CONSUMER WILLINGNESS TO FORGIVE LUXURY BRANDS
- EFFECTIVENESS OF BALENCIAGA'S CORRECTIVE ACTIONS



COMMUNICATIONS REVIEW

BALENCIAGA'S CRISIS RESPONSE LACKED:

- SPEED
- EMOTIONAL CLARITY
- TRANSPARENCY
- ACCOUNTABILITY
- SPECIFICITY ABOUT INTERNAL OVERSIGHT
- DIRECT ACKNOWLEDGMENT OF HARM

THIS WEAKENED THE BRAND'S ABILITY TO REGAIN TRUST.



CHANNELS USED

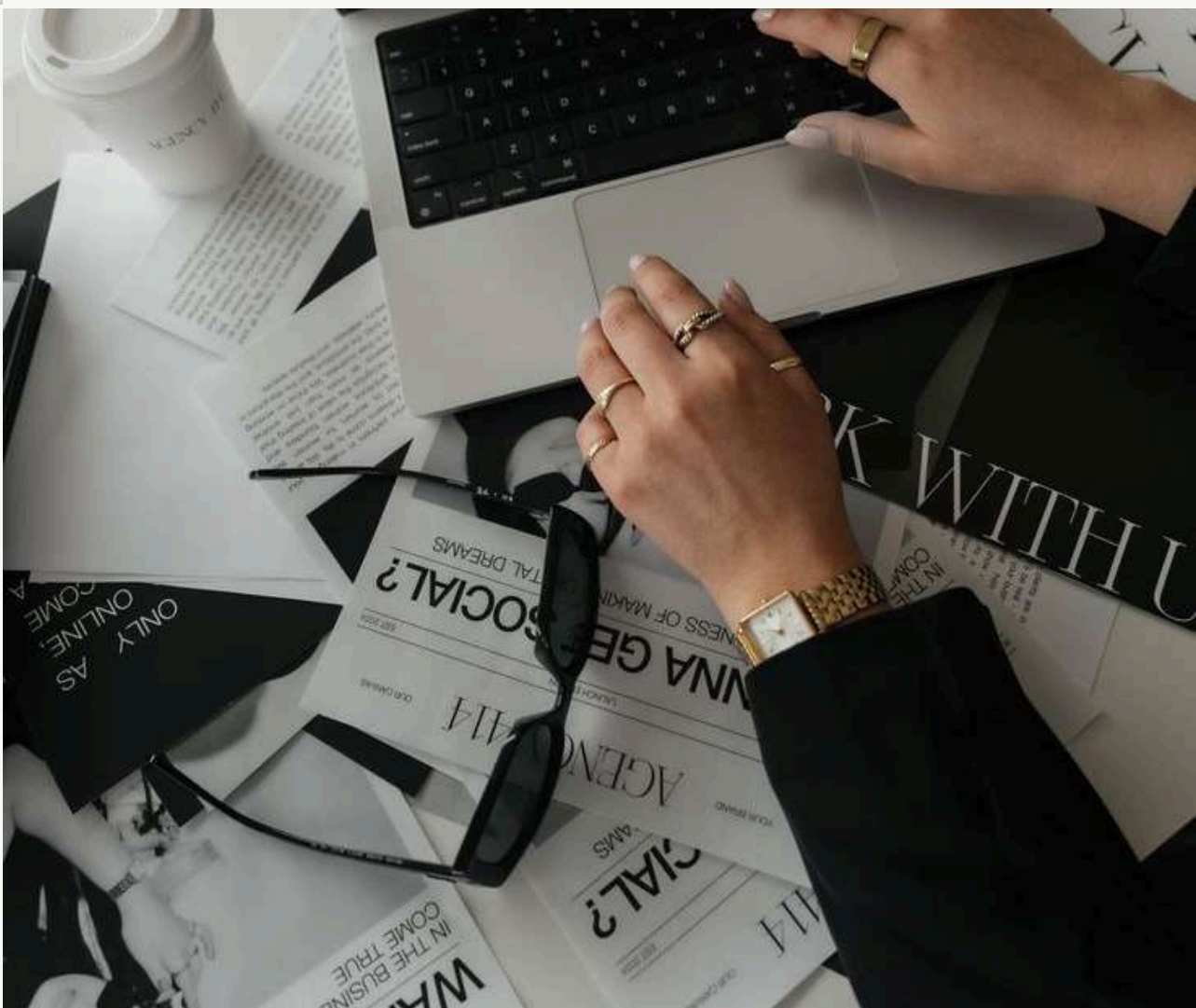


INSTAGRAM APOLOGIES

- PUBLIC STATEMENTS
- PRESS RELEASES
- BALENCIAGA WEBSITE UPDATES
- LEGAL FILINGS



ISSUE: TONE APPEARED
DEFENSIVE, CORPORATE, AND
REACTIVE.



COMMUNICATIONS MISSTEPS

DELAYED RESPONSE ALLOWED BACKLASH TO GROW

- APOLOGIES WERE VAGUE AND LACKED OWNERSHIP
- LAWSUITS CREATED PERCEPTION OF BLAME-SHIFTING
- BRAND QUICKLY RETURNED TO SHOCK-STYLE VISUALS
- NO TWO-WAY DIALOGUE WITH CONSUMERS
- NO IMMEDIATE PARTNERSHIP WITH CREDIBLE ADVOCACY GROUPS



PRIMARY RESEARCH INSIGHTS

QUALITATIVE FINDINGS:

- CONSUMERS ASSOCIATE BALENCIAGA WITH CONTROVERSY
- OVERPRICING ADDS TO NEGATIVE SENTIMENT
- FASHION INSIDERS REMAIN MORE SUPPORTIVE

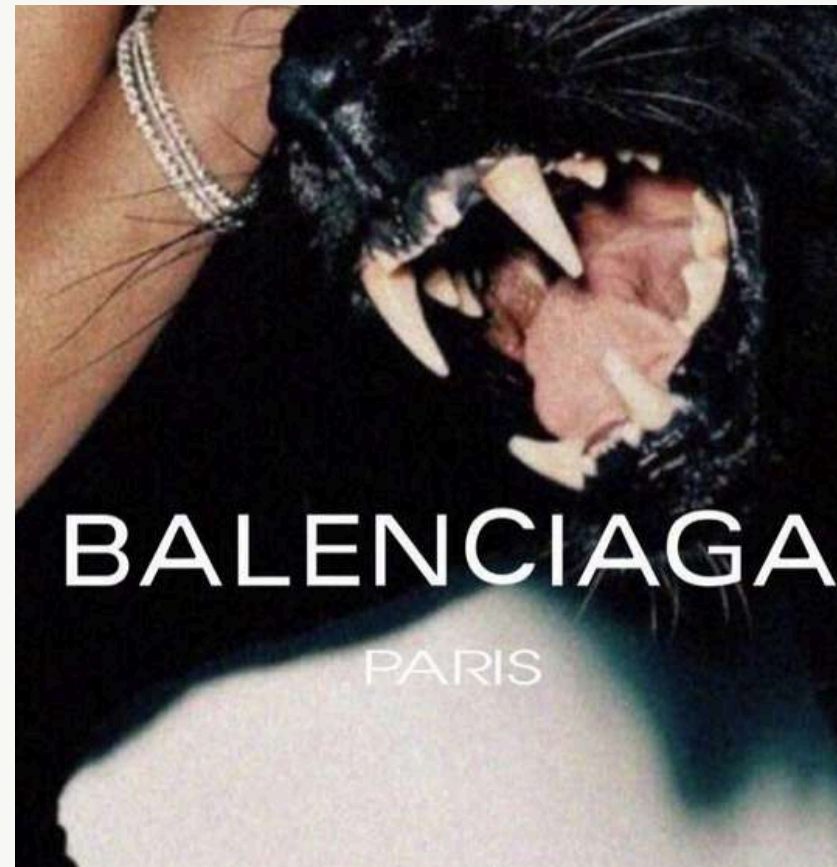
QUANTITATIVE FINDINGS:

- REVENUE REMAINS STRONG
- SOCIAL MEDIA SENTIMENT OVERWHELMINGLY NEGATIVE
- SCANDAL REMAINS TOP-OF-MIND FOR PUBLIC PERCEPTION



PROBLEM STATEMENT

BALENCIAGA'S BRAND EQUITY AND PUBLIC TRUST HAVE BEEN SIGNIFICANTLY DAMAGED DUE TO INADEQUATE CREATIVE OVERSIGHT, RELIANCE ON SHOCK-VALUE MARKETING, AND INEFFECTIVE CRISIS COMMUNICATION. THE BRAND MUST REBUILD TRUST BY INTEGRATING ETHICAL RESPONSIBILITY INTO ITS CREATIVE AND OPERATIONAL SYSTEMS.

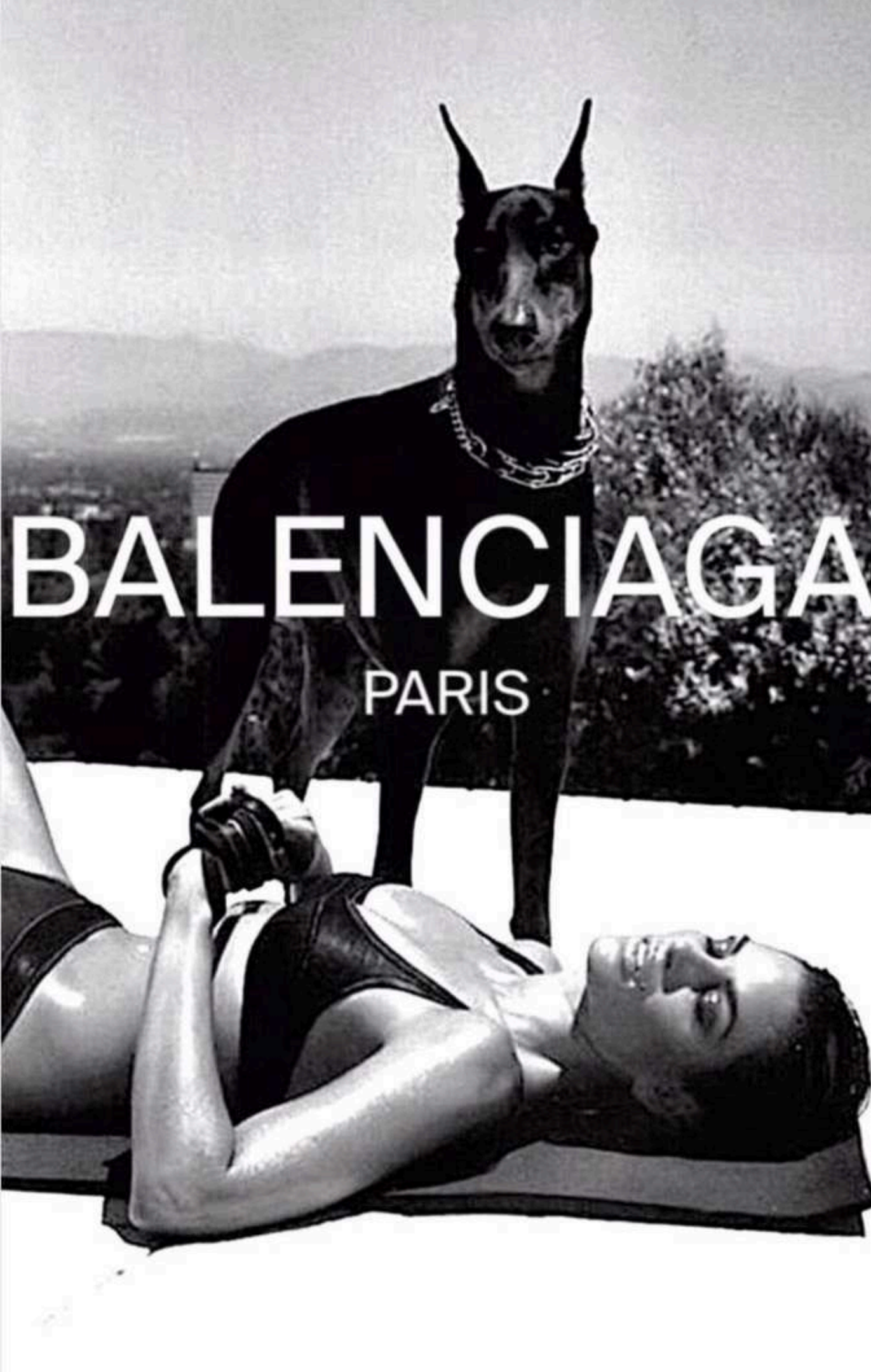




STRATEGY PILLAR 1: ETHICAL OVERSIGHT

- LAUNCH A CREATIVE ETHICS REVIEW BOARD
- CROSS-FUNCTIONAL TEAM: LEGAL, PR, PSYCHOLOGISTS, CULTURAL EXPERTS
- MANDATORY REVIEW FOR CAMPAIGNS INVOLVING MINORS
- STANDARDIZED APPROVAL WORKFLOW
- QUARTERLY OVERSIGHT AUDITS

GOAL: PREVENT FUTURE ETHICAL MISSTEPS.



STRATEGY PILLAR 2: TRANSPARENCY

- PUBLISH AN ETHICAL ADVERTISING COMMITMENT
- RELEASE ANNUAL RESPONSIBILITY REPORTS
- SHARE INTERNAL PROCESS IMPROVEMENTS PUBLICLY
- REBUILD CONFIDENCE THROUGH VISIBILITY AND CLARITY

GOAL: RESTORE CREDIBILITY.

STRATEGY PILLAR 3: CULTURAL INTELLIGENCE

- REFRAME CREATIVITY AWAY FROM “SHOCK” TOWARD PURPOSE-DRIVEN STORYTELLING
- SHOWCASE ACCOUNTABILITY, REFLECTION, AND INSIGHT
- HUMAN-CENTERED NARRATIVES
- REAL-WORLD RELEVANCE INSTEAD OF PROVOCATION

GOAL: MAINTAIN CREATIVITY WHILE REDUCING RISK.



SHORT-TERM RECOMMENDATIONS

- ISSUE A COMPREHENSIVE TRANSPARENCY STATEMENT
- LAUNCH CREATIVE ETHICS REVIEW BOARD
- BEGIN ADVOCACY PARTNERSHIP DEVELOPMENT
- CONDUCT CONSUMER SENTIMENT SURVEYS
- PROVIDE INTERNAL ETHICAL-MARKETING TRAINING
- INCREASE REAL-TIME SOCIAL MONITORING



BALENCIAGA

WOMEN + MEN

LEVEL 1

DAMEN + HERREN

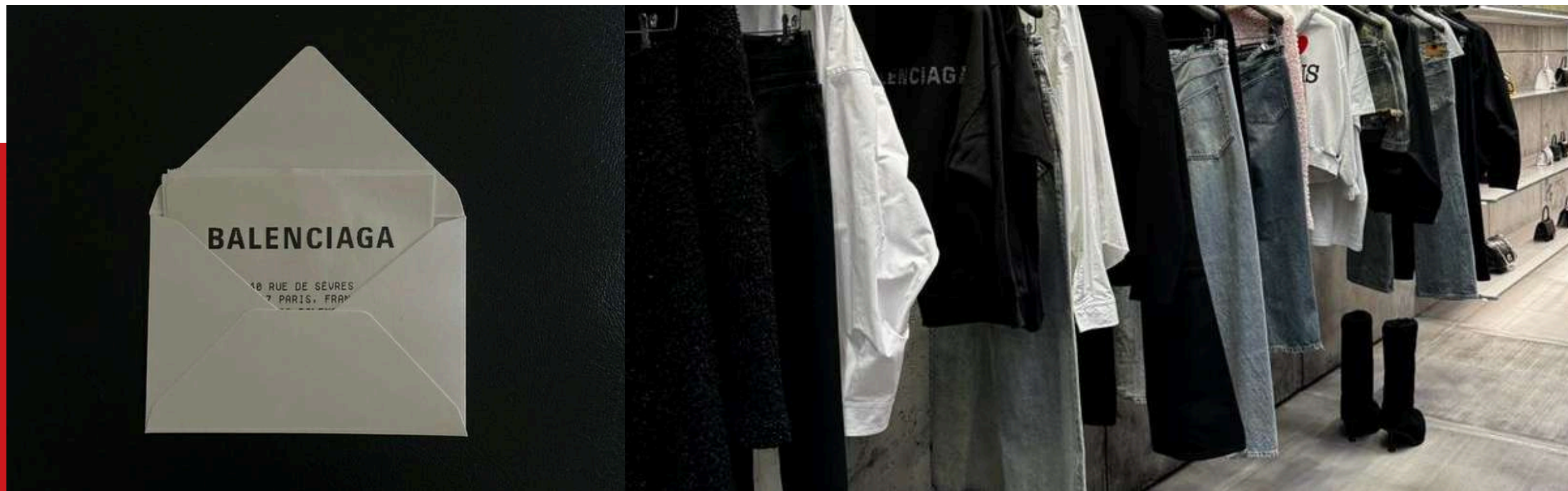
ACCESSORIES

LEVEL 0

ACCESSOIRES

LONG-TERM RECOMMENDATIONS

- EMBED ETHICS IN ALL CREATIVE PROCESSES
- RELEASE ANNUAL ADVERTISING RESPONSIBILITY REPORT
- REINTRODUCE BALENCIAGA CAMPAIGNS FOCUSING ON TRUST, HUMANITY, AND ACCOUNTABILITY
- MAINTAIN STEADY EXTERNAL PARTNERSHIPS
- STRENGTHEN AMBASSADOR GUIDELINES
- SHIFT BRAND IDENTITY TOWARD “RESPONSIBLE INNOVATION”



BALENCIAGA

WOMEN + MEN
DAMEN + HERREN

LEVEL 1

ACCESSORIES
ACCESSOIRES

LEVEL 0

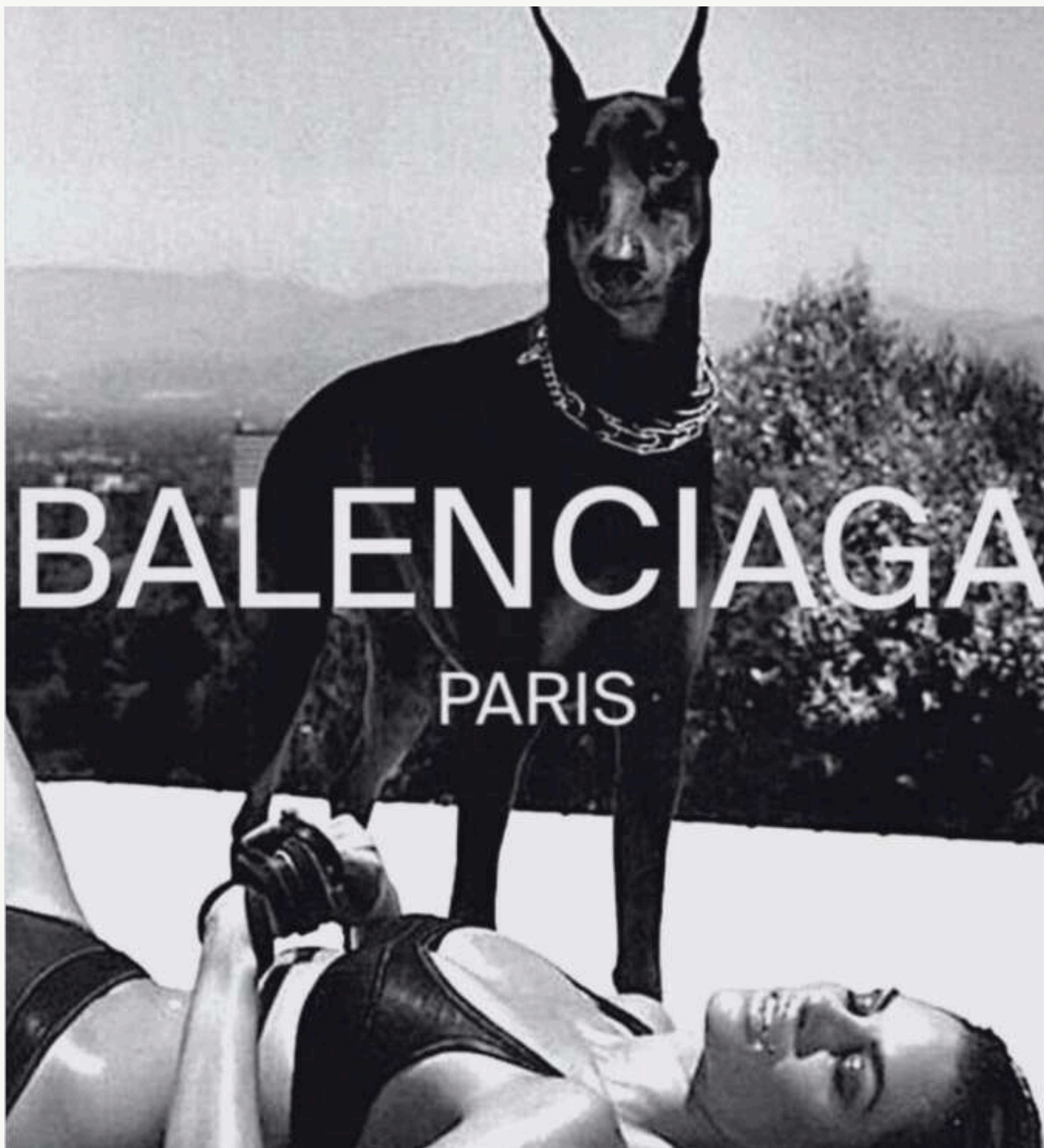
CONCLUSION

BALENCIAGA'S CRISIS EXPOSED SYSTEMIC ISSUES IN OVERSIGHT AND COMMUNICATION.
HOWEVER, WITH A STRATEGIC BALANCE OF CREATIVITY AND RESPONSIBILITY, THE BRAND CAN
REBUILD TRUST AND REPOSITION ITSELF AS A LEADER IN ETHICAL LUXURY.

KEY PRIORITIES:

1. ACCOUNTABILITY
2. TRANSPARENCY
3. OVERSIGHT
4. MEANINGFUL PARTNERSHIPS
5. RESPONSIBLE INNOVATION





THANK YOU